

Korea Daily Brief

Sunday, October 4, 2026

No. 1 · 3,622 words · 14 min read

RE: DPRK IRBM drill with AI-guided hypersonic · ROK financial sector AI hacking wave · Asian Games close · Trump claims 112 NK nuclear missiles

KOSPI
7,003.74
▲ +0.5%

USD/KRW
1,342.51
▼ -1.3%

BRENT
\$102.25
▼ -0.1%

BOK RATE
2.50%
Oct 2026

• TODAY AT A GLANCE

- 1 Kim Jong Un oversaw an intermediate-range hypersonic missile drill on October 3, with Kim Yo Jong claiming the AI-guided weapon flew 1,000 km and evaded tracking by Seoul and Tokyo — ROK MND declared the launch fully detectable and interceptable.
- 2 A wave of AI-assisted cyberattacks hit at least seven South Korean financial institutions — four banks, two savings banks, and one capital company — prompting President Lee Jae-myung to order a thorough probe and the FSS to call an emergency meeting with financial firm heads.
- 3 President Trump told a campaign rally he 'gets along great' with Kim Jong Un and cited 112 North Korean nuclear missiles, the same day Kim Jong Un personally overseed the IRBM drill.

• TOP STORIES

DPRK

Kim Jong Un oversees IRBM hypersonic drill; KCNA claims AI-guided missile flew 1,000 km, mocking Seoul and Tokyo's tracking failure

Kim Jong Un personally oversaw a strategic missile firing drill toward the East Sea in the early morning of October 3, with KCNA reporting the intermediate-range missile struck a designated target *approximately 1,000 kilometers* away. **Kim Yo Jong** confirmed the drill via statement, claiming the weapon's low-altitude maneuvering flight — described as AI-guided — prevented South Korean and Japanese militaries from tracking its full trajectory. ROK MND issued an immediate counter-statement asserting that the missile was monitored from the preparation stage and is fully within the detection and interception capability of combined ROK-US defense assets.

NK News · Reuters · Yonhap · Bloomberg · WaPo · AP · Oct 4

TECHNOLOGY

South Korean president orders probe into AI-driven hacking wave hitting seven financial institutions

A coordinated series of AI-assisted cyberattacks struck at least seven South Korean financial institutions — four banks, two savings banks, and one capital company — with attackers using the AI agent 'Artex' to simultaneously probe back-door vulnerabilities rather than traditional malware-based server takeovers. Attack servers were found to contain Chinese-language strings, though attribution has not been formally established. **President Lee Jae-myung** ordered a thorough investigation and the Financial Supervisory Service convened an emergency meeting with financial firm heads; the Ministry of Science and ICT activated a 24-hour emergency response system and recommended security checks for approximately 28,000 companies.

Reuters · Yonhap · 동아일보 · 경향신문 · 한국경제 · Oct 4

US-KOREA

President Lee invokes October 4 inter-Korean summit declaration spirit on 19th anniversary, calling for return to dialogue

Lee Jae-myung issued a statement on October 4 marking the 19th anniversary of the October 4 South-North Joint Declaration (2007 Roh-Kim summit), calling for a return to the spirit of that accord. The statement comes one day after North Korea conducted an IRBM drill and amid continued Kim Yo Jong escalatory DMZ statements, placing Lee's inter-Korean engagement posture in direct contrast with Pyongyang's current trajectory.

뉴시스 · Oct 4

• OVERNIGHT

- | | |
|-------------|--|
| US-KOREA | Trump says he 'gets along great' with Kim Jong Un at campaign rally, cites 112 NK nuclear missiles · Yonhap English
Figure cited at US rally same day as Kim's IRBM drill. |
| JAPAN-KOREA | Japanese and Korean shipbuilders deploy robots to take on China · Financial Times
Automation push as yards compete for commercial and naval contracts. |
| DPRK | 38 North: Several naval construction projects underway at North Korean shipyards · 38 North
Sinp'o imagery confirms multi-site concurrent build. |
| TECHNOLOGY | AI-assisted bank hacks used 'Artex' AI agent to probe back-door vulnerabilities simultaneously across seven institutions · 동아일보
Attack servers contained Chinese-language strings; 5 major banks spent only 1% of net income on security. |
| US-KOREA | Trump pressing Alaska LNG investment — tariff escalation a possible lever · 한국경제
Seoul watching whether Alaska project delay triggers new trade pressure. |

• STAT OF THE DAY

24,000

KEPCO employees whose personal data was leaked

Personal information of approximately 24,000 Korea Electric Power Corporation employees was exposed in the wave of AI-assisted cyberattacks targeting South Korea's financial sector, announced October 4.

Yonhap English — 'Personal data of some 24,000 KEPCO employees leaked'

PYONGYANG WATCH · KCNA

KIM JONG UN

WATCH FLAG

● **Public appearance — Kim Jong Un personally oversaw an intermediate-range strategic missile firing drill directed toward the East Sea in the early morning of October 3, vowing to advance North Korea's nuclear deterrent.**

"We must steadily advance our nuclear deterrent."

Kim Jong Un — N. Korea's Kim oversees hypersonic missile launch, calls for bolstering war deterrent — Yonhap/KCNA

TOP KCNA ARTICLES

1. Kim Jong Un Oversees Hypersonic Missile Drill, Calls for Bolstering War Deterrent **KIM**

KCNA confirmed Kim Jong Un personally observed the October 3 IRBM drill and pledged to advance nuclear deterrence. — KCNA (Yonhap)

2. Kim Yo Jong: Intermediate-Range Strategic Missile Was Launched During Firing Drill **KIM**

Kim Yo Jong confirmed the missile type and claimed its AI-guided maneuvering flight prevented South Korean and Japanese militaries from tracking the full trajectory. — KCNA (Reuters)

3. North Korea Mocks Seoul, Tokyo Over Alleged Failure to Track Missile

KCNA-backed commentary claims South Korean and Japanese forces failed to track the missile's complete flight path, framing it as a demonstration of the weapon's evasion capability. — KCNA (NK News)

SENIOR OFFICIALS

Kim Yo Jong · Director, Workers' Party of Korea General Affairs Department

Issued a statement confirming the October 3 intermediate-range strategic missile drill, claiming AI-guided maneuvering defeated ROK-Japan tracking and dismissing South Korea's DMZ mine accusations.

Bottom line: Kim Jong Un personally oversaw an IRBM drill the day before the Workers' Party founding anniversary window, with Kim Yo Jong publicly asserting AI-guided evasion capability for the first time; with Punggye-ri at test-ready status and Oct 10 six days away, the provocation risk window remains elevated.

● ROK GOVERNMENT

President + Ministries · Sunday, October 4, 2026

대통령실 · BLUE HOUSE / PRESIDENT'S OFFICE

NSO convenes emergency security meeting on North Korea's missile launch

President Lee Jae-myung

The presidential National Security Office held an emergency security meeting following North

대통령실 · BLUE HOUSE / PRESIDENT'S OFFICE

President orders thorough probe into financial sector data breaches and AI hacking attacks

President Lee Jae-myung

President Lee Jae-myung directed authorities to conduct a thorough investigation into a series of

Korea's intermediate-range ballistic missile launch on October 3. President Lee called for a thorough assessment of the threat and reaffirmed the combined US-ROK defense posture.

[Primary](#) [Yonhap EN ↗](#)

hacking attacks targeting South Korean banks and financial institutions, calling for the government to take a 'grave view' of the situation and prepare comprehensive countermeasures.

[Primary](#) [Yonhap EN ↗](#)

국방부 · MINISTRY OF NATIONAL DEFENSE

MND states ROK-US forces fully capable of detecting and intercepting North Korea's latest missile

MND Spokesperson

The Ministry of National Defense stated that the ROK military monitored North Korea's recent missile launches from the preparation stage, accurately identified the launch point, and assessed that the missiles are at a level that can be sufficiently detected and intercepted by ROK-US defense assets. MND called on North Korea to immediately cease provocations.

[Primary](#) [뉴스스 ↗](#)

PERSONNEL CHANGES

Kang Hun-sik RESIGNED

Presidential Chief of Staff (대통령비서실장)

Presidential Chief of Staff Kang Hun-sik submitted his resignation two weeks ago; as of October 4, no successor has been named. [경향신문](#) editorial notes the vacancy is creating a coordination gap between the ruling party, the government, and the presidential office.

NATIONAL ASSEMBLY

Supreme Court Chief Justice Cho Hee-dae declines to appear as witness at National Assembly audit

National Audit (국정감사)

Chief Justice Cho Hee-dae submitted an opinion letter declining to appear as a witness at the National Assembly's national audit (국정감사). The ruling Democratic Party called for his resignation if he refuses to face scrutiny; the People Power Party accused the DP of 'intimidation politics.' The issue of re-recommending Supreme Court justices is scheduled for discussion on October 6.

• US-KOREA TRADE & INVESTMENT

Steel and aluminium remain at 50% and autos at 15%, both under Section 232. The Section 122 surcharge expired July 24, leaving no baseline reciprocal tariff. Section 301 investigations launched in March 2026 are now the primary prospective legal vehicle for any new measure.

TARIFFS

EXPIRED

Section 122 surcharge lapsed Jul 24; Section 301 now the primary tariff vehicle; sector 232 rates still in force.

WATCH THIS DATE
next trigger: Section 301 determination — pending, no fixed date

SECTOR RATES		
Steel & Aluminum	SECTION 232	50%
Copper	SECTION 232	50%
Automobiles & Auto Parts	SECTION 232	15%
Timber / Lumber / Wood Derivatives	SECTION 232	15%
Semiconductors (advanced logic)	SECTION 232 (PROCLAMATION 11002)	25%
Pharmaceuticals	SECTION 232	up to 15%
Civil Aircraft & Parts	US-KOREA DEAL EXEMPTION	0%
Generic Pharma / Precursors / Rare Natural Resources	ALIGNED PARTNERS LIST	0%

INVESTMENT · \$350B PLEDGE

\$350B pledged

\$150B shipbuilding, \$200B strategic sectors, \$100B energy purchases; no official Strategic Investment Corporation drawdown figure reported to date.

\$350B PLEDGE · SELECTED PROJECTS	
Encinal gas-fired power plant, Texas	Energy — Texas, 6.3 GW \$22.3B
Encinal gas-fired power plant	Energy - Texas, 6.3 GW \$22.3B

FULL TRADE REFERENCE →

Investment ledger and standing policy measures.

• BUSINESS & ECONOMY

FINANCE · YONHAP ENGLISH
Personal data of approximately 24,000 KEPCO employees leaked in financial sector hacking wave
Korea Electric Power Corporation disclosed that personal information of roughly 24,000 employees was compromised in the ongoing cyberattack series targeting the financial sector.


TECH · 동아일보

Samsung previews Yongin semiconductor cluster with 360 trillion won investment plan, projects 1.6 million jobs

Samsung Electronics expanded its science festival exhibition to outline the Yongin national semiconductor industrial complex, projecting approximately 160,000 jobs directly from 70+ materials/components/equipment and fabless firms, plus broader regional economic benefits.

Samsung Electronics

MACRO · 뉴스스

South Korea's annual exports approach \$1 trillion milestone, led by semiconductor transformation

A feature analysis tracks South Korea's export evolution from dried fish and textile products to a semiconductor-led export base now approaching the \$1 trillion annual threshold — a structural shift underpinning the country's trade vulnerability to US tariff pressure.

• NORTHEAST ASIA WATCH

CHINA-KOREA · CHINA-DIPLOMATIC · 한겨레

Column: 'The Real Purpose of a Trump-Xi Meeting' [세계의 창]

Hankyoreh commentary examines what a Trump-Xi meeting would mean for Korean Peninsula dynamics, noting that any US-China accommodation on trade or Taiwan could reshape Washington's leverage calculus on North Korea and reduce pressure on Seoul.

TRILATERAL · 동아일보

US SecDef Hegseth signals possible European troop redeployment to Latin America, urges allies to shoulder more defense burden

Pete Hegseth told reporters in Colorado Springs that the US is expanding military presence in Ecuador, Honduras, Guatemala, and Panama and indicated some European-based US forces could be redeployed home or to the Western Hemisphere. The Pentagon is conducting a six-month review of European force posture through year-end — a signal Seoul monitors closely given parallel debates about USFK sizing.

RUSSIA-KOREA · RUSSIA-DIPLOMATIC · 한국경제

Ukrainian war hero criticizes Lee Jae-myung, says he cannot pressure Zelensky the way he claims

A Ukrainian war hero was quoted criticizing President Lee Jae-myung's claimed ability to mediate between Ukraine and Russia, saying Lee 'cannot threaten Zelensky.' The remark surfaces as Seoul navigates a delicate posture supporting Ukraine without direct weapons transfers, while Russia-Ukraine casualty figures cited in the Korean press reach 1.54 million cumulative Russian casualties.

• PUBLIC SENTIMENT

37%

▼ 1 pts vs 2026-09-11

Gallup Korea · September 18, 2026

42% since Aug 25-27 ↓ 37% across 4 readings

39%

25%

26%

Gallup Korea publishes weekly · this reading is 2 weeks old (September 18, 2026)

Gallup Korea Spotlight September 18, 2026

Presidential Approval — New Low: President Lee Jae-myung's approval fell to 37% in the week of September 18, 2026 — a new low — down from 38% the prior week and below his previous low of 42% recorded in August.

• UPCOMING

Oct
9**Hangul Day (한글날)**

Public holiday: KRX closed, ministries dark. Falling within a week of 개천절, the two often bracket a slow stretch for government news.

Oct
10**Workers' Party founding day**

The party was founded on this date in 1945. Decennial anniversaries have brought large Kim Il Sung Square parades and new systems shown in public for the first time; watch pre-event imagery for assembly.

• THE WIRE

DPRK

한겨레

Kim Jong Un emphasizes 'nuclear advancement' — sends message to Washington that denuclearization is off the table

Hankyoreh analysis frames the IRBM drill and Kim's vow to advance nuclear deterrence as a direct signal that denuclearization cannot be a negotiating agenda item.

TECHNOLOGY

매일경제

Chinese-language strings found on attack servers in South Korea financial sector AI hacking — attribution under investigation

Investigators found Chinese-language string artifacts on attack servers used in the AI-driven financial sector breach; Woori Bank reportedly blocked the initial attack using a 24-hour AI monitoring system.

• ANALYSIS

OFFICIALS ON X

Lee Jae-myung @Jaemyung_Lee

“The 2026 Aichi-Nagoya Asian Games have concluded. Over 800 athletes competed across 41 events representing Korea. Everyone who challenged their limits to the end — you are all champions.”

Context: Statement followed the closing ceremony of the 20th Asian Games in Nagoya; South Korea finished third overall in the medal standings.

[View on X](#) →

Lee Jae-myung @Jaemyung_Lee

“The second application round for the 'Youth Future Savings' scheme — where the government subsidizes part of the premium — opens October 7. From next year, eligibility will expand to all youth.”

Context: Policy announcement for a youth savings support scheme; current eligibility capped at households below 200% of median income.

[View on X](#) →

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.



Lee Jae-myung

President of the Republic of Korea

“Reform is done for the people and the country — not for someone's political achievements or applause. Reform must be a goal, not a means to display clarity or attack someone.”

Analyst: Statement issued amid intra-ruling party tensions over the pace and direction of reform legislation; presidential approval is at 37% per the latest Gallup Korea poll.

[Source](#) →



MND Spokesperson

Ministry of National Defense, Republic of Korea

“Our military monitored North Korea's recent missile launches from the preparation stage, detected and tracked the missiles immediately after launch, and accurately identified the launch origin. The ROK-US alliance maintains a firm combined defense posture, and North Korea's recently launched missiles are assessed to be at a level that can be sufficiently detected and intercepted by defense assets possessed by the ROK and US.”

Analyst: The statement directly countered Kim Yo Jong's claim that the missile's trajectory was untrackable, and called on North Korea to immediately cease provocations against inter-Korean peace.

[Source](#) →

• SATELLITE & LOCATION WATCH

3 of 11 sites at elevated or alert status

38 NORTH · OCT 3, 2026 — SINPO SOUTH SHIPYARD — NAVAL CONSTRUCTION UPDATE

38 North satellite imagery confirms several naval construction projects underway at Sinpo South Shipyards.

New satellite imagery published October 3 by 38 North confirms multiple active construction projects at North Korea's Sinpo South Shipyards on the east coast. The report follows NK News imagery from September 25–26 showing concurrent new warship construction at both Chongjin Shipyards (east coast) and Nampho Shipyards (west coast). A separate 38 North piece, 'The Dangers of North Korea's Nuclear Status Quo,' was also published, examining systemic risks in DPRK's nuclear posture.

ELEVATED ▲

Yongbyon Nuclear Complex

NK News satellite imagery confirms continued expansion of the uranium enrichment facility at Yongbyon. NK Pro Planet Labs imagery confirms construction of a new annex to the original uranium enrichment building began in mid-September 2026, following Kim Jong Un's orders to 'exponentially' increase nuclear stockpile. IAEA confirmed (Sep 9-10, 2026) a new uranium enrichment facility capable of producing material for up to four additional warheads annually. Apr 2026: Enrichment building expansion complete, new centrifuge hall operational. 5 MWe reactor and IRT-2000 both running.

imagery as of 2026-10-02

ACTIVITY ▲

Sinpo South Shipyard

38 North satellite imagery (Oct 3, 2026) confirms several naval construction projects underway. NK News satellite imagery (Sep 25–26) confirms new warship construction begun at Chongjin Shipyard (east coast) and Nampho Shipyard (west coast) since early July — dual-coast concurrent construction. Hero Kim Kun Ok SLBM submarine exited drydock after 2+ years of fitting-out but still not operational as of May 2025. New submarine construction begun in separate bay.

imagery as of 2026-10-03

ACTIVITY ▲

Punggye-ri Nuclear Test Site

Nov 2025: ROK DIA assessed Tunnel No. 3 is test-ready and a nuclear test can be conducted at any time upon political decision. Site maintained at high readiness since mid-2024. The Sep 9, 2016 fifth nuclear test 10-year anniversary fell earlier this month; post-anniversary period historically carries elevated test risk. CNN/Yonhap reported Sep 18 that nearly 1,400 seismic events have been detected near the site since the 2017 test.

imagery as of 2026-09-18

ALERT ▲

Tumangang-Khasan (NK-Russia border)

Sep 8, 2026: The first road bridge over the Tumen River between North Korea and Russia was formally opened at a ceremony attended by Russian PM Mikhail Mishustin; the bridge is named after Soviet officer Yakov Novichenko. This constitutes a new permanent road link across the shared border, the first of its kind. NK News reporting confirms North Korea remains closed to private car travel via the bridge; crossings are limited to organized bus tours per the Association of Tour Operators of Russia (ATOR). NBC News analysis (Sep 15) frames the bridge alongside the near-complete Sinuiju-Dandong crossing as dual infrastructure bets by Pyongyang.

imagery as of 2026-09-15

ACTIVITY ▲

Sinuiju–Dandong (NK-China border)

38 North satellite imagery (Sep 29, 2026) shows signs of activity at customs posts on both the North Korean and Chinese sides of the new crossing. Sep 21, 2026: ROK Embassy in Beijing confirmed the cargo carried by heavy trucks crossing the new Yalu River bridge on Sep 17 consisted of air-

ACTIVITY ▲

Rason SEZ

Sep 21-22, 2026: NK Pro satellite imagery analysis shows a likely Russian cargo vessel docked at Rason for the first time since May 2026 — a roughly four-month gap after near-continuous activity in 2024-2025. Nov 2025: Chinese businesspeople re-entry to Rason SEZ expanded.

conditioning units (HVAC equipment) destined for the customs building, indicating construction is roughly 70-80% complete. Embassy source said the bridge could open approximately one month after building completion following a trial period, with the NK-China diplomatic anniversary (Oct 6) cited as a possible opening date. DPRK national insignia already installed on the North Korean customs building.

imagery as of 2026-09-30

Coal exports through Rason at highest levels in years throughout 2025. Arms export berth also active.

imagery as of 2026-09-22

ACTIVITY ▲

Vostochny/Dunai (Russian Far East)

Jan 2026: Arms shipments slowed due to ice — one Russian vessel (likely Angara or Lady R) visited Rason, docked Jan 14 at arms export berth. Cargo routed to Vostochny. Since Sep 2023: 64 voyages by 4 vessels (Angara, Maria, Maya-1, Lady R) delivered ~15,800 containers (~4.2-5.8M munitions) from Rajin to Vostochny/Dunai. Road bridge now open Sep 8, 2026, providing first permanent road route to supplement existing rail. NK News satellite imagery (Sep 18) shows ongoing upgrades to DPRK urban warfare training facilities consistent with troops rotating back from Russia.

imagery as of 2026-09-18

4 other monitored sites: no new imagery in the last 30 days · oldest report 2025-09.

CSIS

GEOPOLITICS AND FOREIGN
POLICY DEPARTMENT

KOREA
CHAIR

Washington, D.C.

You are receiving the Korea Daily Brief as a member of the CSIS Korea Chair distribution list.

[Read online](#)

[Past issues](#)

[Trade reference](#)

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Andy Lim at alim@csis.org.

↑ [BACK TO TOP](#)

